Cummins India Limited

Quarter Four Earnings Conference Call, 2013-14

May 23, 2014

Anant Talaulicar: Good morning, ladies and gentlemen. Let me summarize the results for Cummins India Limited for both the last fiscal year as well as the last quarter. For the fiscal year, sales were at 3899 crores, which represented a 14% decline as compared to the earlier fiscal year. This was on the back of domestic revenues that declined 17% and exports declined 6%. Profitability is measured by profit before tax was at 822 crores, which represented a 17% decline or a one point decline at 21.1% of sales. I must point out that in the earlier fiscal year 2013, we had significant extraordinary income which consisted of 49 crores related to sale of HDFC shares that we'd held for a long period of time as well as the sale of KPIT shares at 62-crore gain and property sale of 12 crores. And we did not have any such extraordinary impacts in the last fiscal year. In fact, our material margins improved by 1.8 point despite the decline in the top line. However, we did see the introduction of a corporate cross charge on the part of our parent Cummins Inc, due to which we did see an impact of one point in terms of profitability.

For the quarter net sales were at 956 crores, which represented a 4% sequential decline in revenues and 15% revenue decline as compared to the same quarter a year ago. Domestic sales declined 14% sequentially and 26% as compared from the same period a year ago. The exports improved actually by 21% sequentially as well as 14% as compared to the same quarter last year and this is primarily the result of us introducing low horsepower generators for exports from our new plant now on the Megasite. Profit before tax was at 188 crores, which represented a 10% decline sequentially and a 29% decline from a year ago. So PBT stood at 19.6% of sales, which was a decline of one point largely based upon some adverse impacts on pricing as well as a 3.7% decline as compared to the same quarter a year ago all due to the extraordinary income that I alluded to earlier. As we look ahead, we are not expecting any significant changes in market conditions, as we've said in the past the domestic market continues to be extremely challenging based upon the sort of policies that the earlier government had taken for a number of years. I think the most positive sort of phenomenon that has taken place most recently has been the elections and probably the best case scenario has transpired for us in terms of us having, different government now that is formed with a majority, so we would expect that, once it start implementing some strong policies that are helpful to market conditions, we should enjoy the benefits of that. As you know, CIL has already made the sort of capacity investments that are required for the next few years. So as market conditions improved, we should start enjoying the benefits of that, although we do not foresee that happening at least in the short to medium terms. So with that, let me take a pause and open it up to your questions. Thank you.

Moderator: Thank you, sir. With this, we will open the floor for the Q&A interactive session. At this time, if you wish to ask any question, you may please press “0” “1” on your telephone keypad and wait for your name to be announced. I’ll repeat. If you have any questions, you may please press “0” “1” on your telephone keypad. Sir, the first question is coming from Lalit and Srivastav from Dalal and Broacha. Your line is unmuted, sir. You can go ahead and ask your question.

Lalit: Thank you for taking my question, sir. Sir, two things. First of all, you have mentioned that in the near term you do not see a significant uptake on the sales demand for you. I just wanted to granularize that a bit. So is there any particular segment that you are seeing significant traction that can happen, maybe, in the second half of the year, firstly? And secondly, sir, what will be the outlook on your margins for FY15 currently? Thank you.

Anant Talaulicar: Okay. So one factor that we are seeing playing out in the short-term is the introduction of tighter emission norms in the power generation market. This is the CPCB II emission norms, which have now been clarified to take effect starting 1st of July. So as a result of that, you know, it’s a significant change in technology to meet this kind of significantly tighter emission levels. So just to give you a sense, the emission levels will now reduce by almost 90% as compared to what we see today and are equivalent to what we see in Europe. So, basically, fairly significant change in technology which will result in significant changes in both cost as well as price to customers. I think we had signaled earlier that we are looking at price increases of the order of magnitude of 15 to 20%. So as a result of this, we are seeing some level of pre-buy, if you want to call it, for current technology products in this current quarter. It is not very significant, I have to say, because it’s been countered by very, very slow demand for capital goods in the country right now. But having said that, there is some pre-buy behavior going on and so in the next quarter we will probably see the sort of post effects of the emissions regulation. So actually some temporarily decline in the market place as people sort of use stocks of existing technology and then sort of a leveling out. So essentially we feel that the power generation market barring some extraordinary factors will probably be flat to 5% up in the next fiscal year. That is the power generation situation.

As far as the industrial markets go, we are right now our forecast is that it will stay flat to the last fiscal year. Our exports actually we should see some level of growth. And, again, this is based upon some of the new and cost effective generators that we’ve launched in the last year, year-and-a-half and in our new SEZ plant, it’s a power generation SEZ plant. So on the back of that we should see exports growth of approximately 5 to 10% in the fiscal year. In terms of your question on margins, our estimate is that we will be able to hold on to current margins as we go forward.

Lalit: Okay. Sir, one more small question if I may?

Anant Talaulicar: Yes, please. Go ahead.

Lalit: Sir, would it be possible to share the revenue break up for the segments that you have mentioned that you achieved in this quarter?

Anant Talaulicar: Yes. So essentially when we look at the quarter, revenues were 956 crores, domestic constituted 617 crores and exports were at 339 crores. Our power generation domestic revenue was 270 crores, the industrial domestic revenue was 110 crores, the automotive revenue was 30 crores, our distribution business revenues were 196. These are the last…

Lalit: 196, right?

Anant Talaulicar: Yes, almost 200.

Lalit: Thank you, sir.

Anant Talaulicar: You are welcome.

Moderator: Thanks for your question, sir. Sir, the next is Mr. Devang Patel from IL&FS Broking. Your line is unmuted, sir. You can go ahead and ask your question.

Devang Patel: Good morning, sir. My question was do you see competitive pressures at its peak currently given that, you know, you mentioned domestic market is extremely challenging? And how this could have an impact on margins two years hence, but put this into perspective Mr. Batra has mentioned in the calls in the past that the gross margins or material margins are unlikely to sustain at this level, but if the pricing power improves, do you see material margins improving?

Anant Talaulicar: I would say material margins are likely to improve as the economy improves. So right now, as you pointed out, the competitive intensity is high and we are expecting that to sustain.

Devang Patel: Sir, if you can mention the pricing changes we had during the year?

Anant Talaulicar: When we look at the last fiscal year, it's not a very significant factor, you know, because we've seen some pluses and minuses. So on balance, I would say it's been a flat picture in terms of pricing.

Devang Patel: Okay. Sir, if you can give a flavour of how the industrial margins stand vis-à-vis overall numbers? And if you see a stronger industrial segment growth, the revenue mix will change. How would that impact margins?

Anant Talaulicar: I think whether it's industrial or power generation, right now our capacities are largely underutilized. Our capacity is currently are utilized anywhere between 50 to 60%. So as demand comes back, we will see the benefits of that in terms of leverage across all our markets.

Devang Patel: Sir, lastly, you mentioned 5 to 10% a growth in exports. With the European markets improving, do we see prospects of high HP exports improving sometime later during the year and could this guidance be battered?

Anant Talaulicar: Don't foresee any material impact of Europe sort of improving in the short to medium term because our high horsepower markets are driven either by power generation market or by the mining and industrial markets. And right now, they are all pretty subdued and we are not expecting any sort of immediate turnaround.

Devang Patel: Right, sir. That's all from my side. Thank you so much.

Anant Talaulicar: Thank you.

Moderator: Thanks for your question. Sir, next is Mr. Venkatesh from Citibank. Mr. Venkatesh

Venkatesh: Yeah. Good morning, sir.

Anant Talaulicar: Good morning.

Venkatesh: Sir, you did give an idea about the power generation and what you expect in exports, I mean, you said exports you most likely are looking at something like 5 to 10% kind of a growth. Now, in the entire domestic pack, what kind of growth can we expect or is there a possibility that that could decline the domestic side of the business on a Y-o-Y basis next year?

Anant Talaulicar: Okay. The reason we are more optimistic on our power generation exports is because our overall market share in the lower horsepower range globally is not very high; it's below 10% points. So as we've introduced the India range, which is a lot more cost competitive, we expect to grow our market share position. So even if the market overall don't improve as compared to where they are at today, over a period of time this should help us grow market share. So that's really the strategy. So we are feeling relatively optimistic about that. In fact, we've seen improvements in our business, as you've seen also in our numbers. But when it concerns the domestic power generation market, I don't believe or this is our view. Our view is that we are not expecting the markets to decline any further. We think we've hit bottom. And if anything, we expect them to stay flat to possibly improve some particularly as we introduced the new CPCB II compliant products.

Venkatesh: Okay. Sir, so would it be reasonable to extrapolate this, you know, you are expecting 5 to 10% in exports; on the domestic side, maybe, you are expecting something like 0 to 5% growth on an overall basis, basically implies around 5% top line growth for Cummins India next year?

Anant Talaulicar: I would agree.

Venkatesh: Okay. And you mentioned the capacity utilization was around 50 to 60%.

Anant Talaulicar: That's correct.

Venkatesh: Sir, usually, over the last four-five years, what has been the peak capacity utilization for Cummins and which year was this in?

Anant Talaulicar: This was in 2011 is when we had seen our peak capacity utilization. And at that point, we were seeing capacity utilizations that ranged, upwards of 80%. Having said that, we have added capacity also post that timeframe as we had expected, you know, the markets to continue to grow. That obviously hasn't happened and that is what has brought us down to our current level.

Venkatesh: Okay, sir. Thanks a lot. Thanks a lot for giving your answers.

Anant Talaulicar: You are welcome.

Moderator: Thanks for your question, sir. Sir, next is Mr. Bhawin from Axis Capital. Mr. Bhawin, your line is unmuted.

Bhawin: Anant, congratulations in a very difficult market.

Anant Talaulicar: Thank you.

Bhawin: My first question is on the export. If you can give some colour on it? You said export is roughly 340 crores and there is an improvement in the low horsepower exports. So if I actually just annualize this number, I mean, I believe it should be around 15% growth for next year and you believe this revenues what you have done in the fourth quarter it will improve going forward. So it doesn't add up to the math of 5 to 10% growth you are talking about.

Anant Talaulicar: Well, what I was quoting was the overall exports. So there are all pluses and minuses going on out here. So while our low horsepower exports may grow, we could even see further declines in other parts, you know, related to the high horsepower market. So I just gave you sort of a ballpark overall estimates earlier.

Bhawin: Okay. How much was the low horsepower SEZ export in the quarter and what do you see in fiscal 2014 because when we went to see the Phaltan plant, we were given an indication that the volumes could be about 15,000 units next year from 3000 units in fiscal 2014?

Anant Talaulicar: Yeah. When you look at the exports of these lower horsepower or low kilowatt gensets, in this fiscal year, they were approximately 350 or so crores. From the SEZ itself, it was about 155 crores. We are also shipping out of our Pirangut plant, prior to the SEZ going into production. So the SEZ itself of about 155 crores. Of course, now, everything that goes outside the country will go out through the SEZ in the future, so that 350 crores is likely to probably double in the next fiscal year. So that is our estimate, so somewhere around 700-750 crores is the likely number I would say.

Bhawin: Okay. This implies you are expecting a significant decline in the high horsepower which was ballpark 750 crores this year?

Anant Talaulicar: I am not expecting a significant decline, but, you know, the high horsepower exports was, to you point, it's about 750 crores. So that could come down some more, we've seen sort of trend downward as you know from the earlier fiscal year. So this is how I understand to put it all together and giving you a guidance of approximately, 10% improvement.

Bhawin: Okay. But HHP also if I observe, there was a sequential improvement in third quarter and there has been a sequential improvement in Q4 over the Q3 if I just talk of the LHP number you give out. So the trend reversal we have seen in last two quarters on the positive side you don't believe that to continue?

Anant Talaulicar: Yeah. That's right. So if you compare it to, you know, not the last quarter was, couple of quarters earlier, you will see that it has declined. And so I am not yet anyway prepared to, if you want to call it, declare victory there.

Bhawin: Fair enough. My second question is more on the powergen. So if you can give us a little bit more colour on because what we saw your power-gen number was in the peak 1600 crores; now, it has come down to about 1200 crores. And if we take your FY10 number, it was about the same number as what you have delivered in fiscal 2014. In the meanwhile, you have taken price increases. So if I do a like-to-like number, you are in fiscal 2014 and 800 crores versus 1200 crores what you delivered in FY10-11. I am just removing the price changes in that period. So your market has declined by 25% over the last four years. Is it fair to assume that the decline is only in the prime usage of people who are buying genset just because of power deficit and people who are buying gensets for just back up means hotels or hospital, IT-BPO that market has been more or less flat and that will bounce back as the eco-revise?

Anant Talaulicar: No. That is not a view. You know, clearly over the years, there has been a trend of prime sets moving to standby. There is no question. So now in the country, the large majority of generators are used in standby applications, although the definition of standby is not quite what is used in the western world which is less than, you know, 200 hours a year or whatever. Out here in India, we see even standby sets typically operate anywhere between 500 to 1000 hours a year because of the grid situation. But having said that, there are standby sets, so they are not used 8000 hours a year, prime sets anymore. But what we have seen clearly is a slowdown in the GDP; the GDP rate of growth is what has slowed down. And when you see a rate of growth slowdown, it actually turns many of the capital good markets to go into the session and that is really what we are seeing. So now, for example, the manufacturing industry currently is under recession, which means that, you know, folks like us are capacity underutilized. So there's no question of adding any more standby gensets in our operations. That is really what's going on in our market right now.

Bhawin: Okay. Sir, is it like fair to assume that irrespective of where the power deficit goes from here, the growth of power-gen business of Cummins is now correlated to the macro economy growth of GDP growth?

Anant Talaulicar: Yes. Absolutely.

Bhawin: Okay. Fair enough. That answers my question. Thank you so much. I wish you all the best.

Anant Talaulicar: Thank you.

Moderator: Thank you, sir. Sir, the next question is from Mr. John from Emkay Global. Mr. John, your line is unmuted.

Pritesh Hirani: Yeah. Hi. This is Pritesh Hirani.

Anant Talaulicar: Yes. Hello.

Pritesh Hirani: Hi. One on the domestic power genset side of, let's say, the whole domestic business side. What changes or what data points would you watch or want to look at for changing this thought that the growth should be about in excess of flat to 5%?

Anant Talaulicar: You know, actually the growth that I talked about assumes that current micro conditions continue, so I am not even counting on any sort of improvements. Now, as I mentioned earlier, if the new government starts picking market friendly policies and, you know, pro-investment policies, then this whole picture can change over a period of time.

Pritesh Hirani: Okay. And on the export side, you know, I just couldn't understand why in the math actually you are still taking the export growth at about 10% despite the fact that on the low HP side you are expecting about doubling of the business in one year's time.

Anant Talaulicar: Yes. Because I think overall, if you look at our exports, low horsepower exports are still the minority. And the bigger portion is the engine exports on the high horsepower side, which currently is still, I would say, it's a depressed market globally. So while we did see some sequential improvements, at least at this stage, I am not confident enough to declare that that will continue, so the reasons. I could be wrong, but that's my, I guess, conservative outlook.

Pritesh Hirani: But, at least, the low HP business has actually kind of flattened out in the last two years, right?

Anant Talaulicar: Yeah. The low horsepower is flattened out and we expect that to grow. So, we are expecting that to grow.

Pritesh Hirani: Even the high horsepower actually flattened out between this year and last year?

Anant Talaulicar: Yes. That's right. Although, you know, when you compare it quarter-to-quarter, you can see that is still in a decline mode. It depends on which period you are comparing, obviously. So that's why we are being a little careful right now.

Pritesh Hirani: Okay. Thank you and all the best.

Anant Talaulicar: Thank you.

Moderator: Thank you, sir. Sir, the next question is coming from Mr. Inderjeet Singh from Macquarie. Mr. Inderjeet, your line is unmuted.

Inderjeet: Okay. Thanks gentlemen for the opportunity. My question is on powergen. Now, you indicated about roughly around 5% growth in revenues this year. Given that the CPCB norms would be in force for nine months, should we imply that on a full year basis you are looking at the volume to be down anything around 5 to 10% if that's the fair assumption because the pricing should go up by anything around 20-25%?

Anant Talaulicar: Yeah. That's quite right. Once we see the introduction in the 1st of July, we are expecting, some lag to take place because there's some amount of pre-buy going on currently. So there will be some lag that takes place and then, the market will start returning. So this is why we are saying probably on net along with the price increases that the market may sustain, probably about 5% growth.

Inderjeet: So what is the extent of pre-buying or any kind of seeing from a run rate basis, is it 25% higher, 50% higher than the general quarterly run rate you would have expected?

Anant Talaulicar: I would say it's probably more like 10 to 15% higher in this current quarter.

Inderjeet: Okay. So from that perspective it's only 10 to 15% higher. The impact of pre-buying should last only in Q2. And then from Q3 onwards, things should start to again get back on track. Is that a fair assumption to make?

Anant Talaulicar: Yeah. I would say so. One quarter of impact. Yeah.

Inderjeet: Okay. My second question is given that there's lot of talk about focus on reforms in the power sector with coal being in focus. And if you expect, say, the plant load factors in lot of these power plants to improve, do you think that would have a negative impact on a short-term basis on the power-gen sales for us?

Anant Talaulicar: Not at all. I think we sort of touched upon it with the earlier question. Our generator sales are mostly correlated to economic growth. So they are no longer, you know, as correlated to, if you want to call it power deficits. And we did see, for example, we saw bit of a spurt because of significant power deficits about two years ago in the South. But that's long gone now. So in most parts of the country currently I would say, you know, there isn't a power deficit. So whatever demand we see now is largely correlated to just GDP and particular sector growth, so a capacity additions happens in data centres, hotels, manufacturing industries, that is what trails the demand for generators, which are largely used in standby applications. They are like, if you want to call it, insurance policy against any down time in the grid.

Inderjeet: Sure. If I may squeeze just one last question? Given that you are likely to shift your entire export sales out of SEZ this year, how should we look at the tax rate? Hopefully, it will come down further from these levels or should we assume this stable number?

Anant Talaulicar: Yeah. We should see further reduction because of the SEZ impact. I think we've already seen a good benefit, you know, about almost one point benefit. So maybe another half point also you might see.

Inderjeet: So Q4 run rate should be the right number or should be around that level to look at for the full year basis?

Anant Talaulicar: Yeah. I would say so.

Inderjeet: Okay, sir. Thanks a lot.

Anant Talaulicar: You are welcome.

Moderator: Thank you, sir. Sir, the next question is from Mr. Sandeep from GM Financial. Mr. Sandeep, your line is unmuted.

Sandeep: Yeah. Good morning, sir.

Anant Talaulicar: Good morning.

Sandeep: Sir, my first question is on the exports contracts which are having a particular reference rate which is reset every year. So, you know, earlier, I mean, we had modified our policy from changing this rate once every year as compared to once in three years what we used to do earlier. So the new rate, if you could just help us with, you know, last year, you had a reference rate of Rs. 55 to a dollar and plus, minus 3% movement, you had a 50% profit sharing with the pair and beyond that. So for the calendar year 2014, what is this reference rate right now?

Anant Talaulicar: Right now, the reference rate is 61.89.

Sandeep: This will sustain for the whole of calendar year 2014 and plus, minus 3% movement; there will be a 50% profit sharing with the parent?

Anant Talaulicar: No. There will be no changes within plus or minus 3%. Anything beyond plus or minus 3% will be shared 50%. Yeah. That's right.

Sandeep: And even if it moves on the adverse side, suppose, it appreciates to below Rs. 59 a dollar even the losses would be shared equally?

Anant Talaulicar: That is correct. Say, it can go either way for CIL legal entity. Right.

Sandeep: Okay. Secondly, so you also mentioned in your opening comments that there was some adverse impact on pricing in this quarter, while the general understanding which goes right now is that your LHP gensets which are manufactured from the Phaltan Megasite would essentially carry better margins because there is no royalty attached to this product. In which specific part of your business you are having this adverse pricing impact, if you could just highlight that?

Anant Talaulicar: Well, it's the same phenomenon that we talked about, as we reset the pricing of the high horsepower engines. That was the adverse impact. And then in the domestic market in certain segments we were able to get some pricing, so I think all of the puts and takes resulted approximately a flat picture for us.

Sandeep: Okay. And, sir, lastly just once again, getting some clarification on this overall exports number where we are seeing out of this 1200 crores what we have done in financial year 2014 where you gave a break up of about 850 crores roughly as HHP, if I consider 350 crores is LHP. So are you expecting doubling of the LHP gensets sales in financial year 2015, are we seeing such a sharp decline of about 25 to 30% in high HP or?

Anant Talaulicar: No. We are not seeing that. In fact, sequentially we've grown even in the high horsepower. I am just being somewhat cautious, I guess, given sort of trends we are seeing in the high horsepower markets around the world.

Sandeep: Okay. So it can be essentially higher than 10% also your overall exports if ?

Anant Talaulicar: It could be. Yeah. It certainly could be. Yeah. What we've seen in the most current quarter if we take that to be the right trend, then certainly we will see a higher rate of growth.

Sandeep: Okay. And, sir, lastly just one more point on the industrial segment, in the presentation that you had done during your analyst meet you were highlighting that there is a lot of – the composition from the rail side and the mining side is likely to increase substantially over the next two to three years. So what kind of revenue contribution are we seeing from these two segments and if you could just give some outlook on those two segments specifically?

Anant Talaulicar: Yeah. I think, you know, on the mining side particularly as you are aware, it's been a very depressed situation in the last couple of years given, you know, some other corruption, scandals and just, I guess, the lethargy that you've seen in policy making, we hope that will change because, obviously there is a great demand for coal. In fact, we are even having to import coal because of not enough production happening right now. So if we are able to change that, then certainly that will have a lot of positive benefits to our company. To your specific question, you know, when you look at our industrial business sales in the quarter, it was 114 crores of total sales. And out of that, the mining sales in the quarter were only about 10 crores, so not very significant. Now, in the past, our mining sales have been as much as 50, sometimes even 60% of our industrial business sales. So it's right now in a very depressed state. So if the conditions improve, then I think there's a lot of upside there.

Sandeep: And the same would be true for the railways segment also?

Anant Talaulicar: Yes, the same would be true for the railway segment also. So I think, you know, in general I would say, you know, if the country starts headed towards the same sort of growth rates within, few years back to 10% sort of growth rates, we would see a lot of upside in our industrial markets. And that would also be true of our power-gen market. So clearly we are very hopeful that the policy is that the new government takes up will be more pro-growth oriented.

Sandeep: Okay sir. That's it from my side. Thank you so much for clarifying my questions.

Anant Talaulicar: Thank you.

Moderator: Thank you, sir. Sir, next is Mr. Deepak Agarwal from Elara Capital. Your line is unmuted, sir.

Deepak Agarwal: Yeah. I have couple of questions. Firstly, what's the CapEx that has been incurred in last year and expected level of Capex in the next two years?

Anant Talaulicar: So in this fiscal year ended 2014, we invested 445 crores of Capex. And we've sticked to our earlier guidance which said this is going to be approximately the same about 450 crores over the next two fiscal years, before it kind of comes down to a more normal level. We are largely done with our manufacturing investments now over the few years. As you know, we've met significant investments particularly in our Megasite at Phaltan. So we are largely done with that, but our investments in the Technical Center as well as the office campus will continue over the next two years.

Deepak Agarwal: Okay. And, secondly, moving on the revenue guidance up on that issue like in the last call you were guiding for about flat revenue growth for FY15 and now we are expecting about 5% on the overall top line basis. So what has changed fundamentally in the last three months for revision in the guidance?

Anant Talaulicar: One is the exports on the low horsepower generators. We are feeling more confident now that the product is robust. It is being accepted well in the markets where we are exporting. So we feel relatively more optimistic about that portion of our business. The second piece is now that we finally notified the CPCB norms introduction. So we now know that it will happen on the 1st of July. It is a significant change in technology. There is price that comes with that. Also, we are relatively optimistic about our competitive position relative to the other players because we believe we are going to have the most cost effective and best technology to meet this kind of tight emission levels.

Deepak Agarwal: Okay. And, thirdly, when you were mentioning the power-gen division, I assume this includes distribution division as well as guidance or like both of them being at a flat level?

Anant Talaulicar: Yes, that's right.. So I had not given any specific guidance on our distribution business. But, again, you know, assuming current sort of macro conditions continue, then we are expecting fairly flat pictures there.

Deepak Agarwal: Okay. And my last thing is on how do we, like, most of the investors are even talking of FY16. So do you see there's such a strong momentum continuing on the export side even in FY16?

Anant Talaulicar: I frankly don't know the answer to that question. There are lot of factors outside our control. But if we sort of assume that the commodity markets globally start returning based upon recovery in the United States, continuing growth in China and also now what we are seeing is an early recovery starting to happen in Europe, then, yes, clearly high horsepower market should come back in the next couple of years, which should present a good upside to CIL.

Deepak Agarwal: Okay. Thank you. That's it from my side.

Anant Talaulicar: You are welcome.

Moderator: Thank you, sir. Sir, the next question is coming from Mr. Vishal Singh from Religare. Your line is unmuted, sir.

Vishal Singh: Yes. Good morning. Just on the working capital if I look at fiscal 2014, I think there is increase in the inventory days and probably a little bit of increase in the receivable days, so could you just clarify on that?

Anant Talaulicar: Well, the increase in receivable is not very significant. I mean, it bounced up and down, you know, over the quarters. The main reason for that is frankly the liquidity in India right now is pretty tight, interest rates are very high, as you know relative to most countries. And also, people currently or even businesses have been very, very careful with their cash positions. So it's a tight situation. So we've seen with many of our customers including large customers, their desire to pay us on time et cetera is a bit of a challenge. So having said that, I don't see any sort of risk of receivable. It's just that it tends to get extended to some extent. Also, some of our dealers are struggling with their cash flow, so sometimes we have to be very careful in terms of how many orders we take from them and what quantities and so on. So it kind of manage it carefully. So nothing of concern, I would say, nothing of major concern; just kind of tight conditions currently. So we hope, you know, as the economy starts growing, things will loosen up out here.

On the inventory side, you know, again, nothing very significant in terms of increases. We are managing our inventory turns very carefully. They have come down some in the most recent months, I would say, but these are temporary phenomenon. I don't expect this to sustain.

Vishal Singh: Okay. And the channel for the power generation business, how are the inventory levels, I mean, are the inventory levels generally high compared to normal levels or are they at normal levels right now?

Anant Talaulicar: They've actually come down over the last few quarters. We sort of been watching this very carefully and, to some extent managing it also. So right now, again, no major concern. The concern, if at all, is related to the CPCB II regulation, which we have to micro-manage because post, June 30th, we are not going to be able to shift current technology from our factory. So we have to really carefully manage sort of the obsolescence of that and the introduction of the new technology. So that's the only, if you want to call it, short-term situation that has to be very, very carefully managed. But in terms of overall inventory levels right now in the channel, I would say they are normal.

Vishal Singh: Okay. And, sir, one final question will be, you know, total 3900 crores of revenues, how much would be coming from the Kothrud plant and, then what would be the contribution from the Phaltan plant out of the 3900? And how should that change in 2015 as you know you have higher contribution from the LHP engine which will be probably manufactured from Phaltan?

Anant Talaulicar: I don't have those break down sort of exact numbers, but I would say, you know, when you look at our Pirangut plant and the SEZ instead of combine it all together, that's probably a little over a thousand odd crores of revenue. The rest comes from Kothrud.

Vishal Singh: Okay. So distribution also should be included in Kothrud, is it?

Anant Talaulicar: No. Actually, distribution would be separated and distribution is close to probably in terms of cost of sales maybe another 500 or 600 crores.

Vishal Singh: So distribution you do have a unit in Phaltan only, right?

Anant Talaulicar: Yes, we do.

Vishal Singh: Okay. So then 1000 crores from Pirangut and Phaltan and about 600 crores of distribution and the remaining from Kothrud?

Anant Talaulicar: That's right.

Vishal Singh: And your contribution from Phaltan should increase in 2015 and probably in 2016?

Anant Talaulicar: That is correct.

Vishal Singh: Okay. Thank you.

Anant Talaulicar: Welcome.

Moderator: Thanks for your question, sir. Sir, the next question is coming from Mr. Sanjay from Merrill Lynch. Mr. Sanjay, your line is unmuted.

Sanjay: Hi. Thanks a lot, sir, for this opportunity. First of all, sir, just want to confirm you mentioned that we expect to maintain margin. So are you really indicating the net margin or EBITDA margin? And basically the net margin is around 14.5 to 15%, so is that 14.5 to 15% kind of net margin will be maintained in fiscal 2015?

Anant Talaulicar: Yes. We believe so.

Sanjay: So essentially your guidance is a net margin?

Anant Talaulicar: Yes.

Sanjay: Okay. And, sir, the second thing in your balance sheet I see this long-term loans and advances increasing a lot. Is that something to do with the Capex? How should one read it?

Anant Talaulicar: That is, I would say, largely almost purely related to the advances we made to our other legal entity in India which is Cummins Technologies India Limited, as they are making certain investments. So this is kind of, if you want to call it, a related party advance. Of course, it's done at market rates of interest. So that's really what it is about a 150 crores.

Sanjay: 150 crores?

Anant Talaulicar: Yes.

Sanjay: Because the increase that we see is a little more than that.

Anant Talaulicar: There's probably some sales tax, you know, that could be the other part of it. But in terms of the advance, it's about 150 crores.

Sanjay: Okay. And, sir, the CapEx which you mentioned there would be 450 crores, it will be per annum, right, that is…?

Anant Talaulicar: Yes, 450 crores per annum. And, again, I would like to point out that CIL, despite all these adverse conditions and so on, we are in a very strong position from a cash perspective. The results continue to be very healthy. And we continue to generate positive free cash flow in the quarter and we don't have any debt to speak of. So our ability to withstand, you know, these current headwinds is pretty good.

Sanjay: Understood. And, sir, the other thing I wanted to check with you is the one you are having this tax benefits, et cetera from SEZ and that one is ramping up, but at the same time I believe that with the new emission compliant engine we will have far more bought out components which probably could be some kind of cost stressor. So is that something despite that you are being able to maintain your percentage margin?

Anant Talaulicar: Yes. we believe so.

Sanjay: Okay. Okay. And is your import content going to rise a lot because of this technology change or royalty is going to change or anything like that?

Anant Talaulicar: No. We don't think so. I mean, the technology changes that are coming up we are also working aggressively on localization of those, so no material impact.

Sanjay: Okay. And, sir, essentially your guidance considering that the way SEZ is ramping up and also whatever volume and price increase that you are taking on the new emission, you said that it is much more conservative than normal practice of yours?

Anant Talaulicar: I don't think so. You know, I hope I am wrong. But I don't think we are being overly conservative because there are lots of puts and takes going on here. Of course, there's price increase, but there's also cost increases happening, there's the exchange rate impacts, there's leverage impact. So I think after sort of taking all of that account, assuming that current, if you want to call it, adverse conditions continue and our ability to maintain margins should be seen as a positive part.

Sanjay: Thanks a lot sir, and all the best.

Anant Talaulicar: You are welcome.

Moderator: Thank you, sir. Sir, the next question is from Renu Baid from B&K Securities. Your line is unmuted.

Renu Baid: Good morning, sir.

Anant Talaulicar: Good morning.

Renu Baid: Hello? Yeah. Sir, a good portion of my questions have been answered; just would need a little more clarity on how is the HP-wise sales mix look like in the last financial year along with how has the growth in the LHP, the medium range, heavy duty and HHP like been?

Anant Talaulicar: Okay. We look at our low horsepower, I will just going to talk about the fiscal years because that probably gives a little better picture than quarterly numbers. When you look at the fiscal year…

Renu Baid: Yeah. Absolutely, I am looking at annual numbers.

Anant Talaulicar: Okay. Good. So the low horsepower range declined by 10%, you know, last fiscal to the earlier one. The mid-range portion of our business declined 13%. Then the heavy-duty portion grew by 7%. High horsepower declined by 26%. And our distribution business was flat. That gives you the quick term.

Renu Baid: Sure. And, sir, broadly within this how does the sales mix stand up for the last year?

Anant Talaulicar: Okay. So when you look at the 3899 crores, then the low horsepower was about 415 crores of that. The mid-range business was approximately 700 crores. The heavy-duty was approximately 430 crores. The high horsepower was approximately 1350 crores and our distribution business was approximately 900 crores. Then there's some other miscellaneous stuff. That's the bulk of it.

Renu Baid: I think in the medium duty and the mid-range we have seen improvement in volumes and market shares?

Anant Talaulicar: Yes. We did see an improvement in the heavy-duty.. And the market share also I would agree that we probably had seen some elements of market share on the low horsepower and mid-range, although the market themselves declined. So that's what see.

Renu Baid: Sir, going ahead largely especially on the industrial segment would it be possible for you to share a bit more colour in terms of the individual sub-segment outlook and the manufacturing, the compressors, the mining in the market? Are we strictly looking at our growth numbers rebounding back in these segments in the next 12-18 months?

Anant Talaulicar: The compressor segment currently, especially, in the sort of latest quarter is very much depressed. Now, when that will come back is very hard for me to predict. So I guess I wouldn't do that. The construction side we expect to see that gradually improving frankly. And, also, one other phenomenon that's happening in the construction market in India is that more and more of the manufacturer are starting to export entire construction equipment out of India given the cost structure and the exchange rate. So that's what are the positive factors. So even though the domestic construction market is also frankly not very good right now, we are seeing improvements because of the export side of it, not our exports but exports from the equipment manufacturer.

Renu Baid: The OEM?

Anant Talaulicar: OEM themselves. Yeah. And aside from that, I think when I touched upon mining earlier, so, you know, if the new government starts addressing some of the issues there and that could be a market that turns around pretty quickly; it shouldn't take very long, I don't think. The rest, of course, are related to like locomotors, for example, we are just starting to make those investments that are envisaged in the five-year plan.

Renu Baid: Okay. Sir, just to close, just on broad ballpark basis within the industrial how is the mix between these categories for the last financial year?

Anant Talaulicar: Okay. In the last financial year, in terms of the mix it was about 30 was the compressors, you know, there are two segments associated with it. One is the road construction and the other is the water well rigs segment, this use compressors. That was about 30%. Construction was about 30%. Mining declined about 12%. Locomotors was about 20%. These are the bigger ones. Then marine was about 6%.

Renu Baid: Okay. Sure. Sir, thank you so much. That's it from my side. All the best, sir.

Anant Talaulicar: Okay. Thank you. I think we will take one last question, please.

Moderator: Sure, sir. The last question of the day is coming from Mr. Bhargav from Ambit Capital. Your line is unmuted, sir.

Bhargav: Yeah. Hi. Good morning. Sir, you highlighted in the earlier part that possibly post 30th June it won't be possible to shift CPCB I gensets because according to the regulation this is not allowed. So do you expect some sort of a dumping which could happen, say, in June because possibly OEMs might want to finish off their stocks and that could possibly disrupt the pricing of CPCB II because post June what could happen is you would have both gensets available from the dealer side?

Anant Talaulicar: Okay. It sort of got cut off there. But essentially, you know, obviously there are those kinds of risks we are on top of it managing this very carefully. And, as you know, we only operate through three OEMs who are our long-term partners and our abilities to sort of look at exactly how much inventory they have as well as what we have is excellence. So I believe that we should be able to manage those kinds of risks.

Bhargav: Because, sir, the reason why I am asking is that if you look at the results of one of your domestic competitors, they have shown almost 7 to 8% growth in revenues in the Q4. And my fear is that they might be resorting to such tactics of dumping which could possibly cause some disruption, so I just wanted to check with you.

Anant Talaulicar: Frankly, I have no comments on what my competitors are doing. I can assure you we are not doing that. So let me just pause at that. And just kind of summarize that, I hope that we've been able to demonstrate that despite extremely, extremely adverse conditions that are operating in India currently, CIL has continued to perform in an excellent manner and the management team and our employees certainly have basically really utilized at the level that have been under their control. So in terms of continuing to drive cost out of our products and operations, continuing to utilize Six Sigma to improve our quality levels and, build our processes, I think all of that is going well. We are very well positioned to meet the CPCB II norms in terms of having the product ready for the market place. And we have continued to make the long-term strategic investments in our plants, processes, people and technical centers. And I think, one of the most positive things that have happened right now in India which I hope all of you agree with is, this whole change of the government and I think essentially the people have held sort of the past government accountable for all the screw-ups and the basically lethargic policies and sort of re-distributive policies that have taken place in the last few years. And so we hope that, as the new government with a clear majority starts implementing market friendly policies and tackling the supply side issues and also fiscal and tax kind of issues, the upside to CIL is going to be tremendous. So while it's hard to circulate, how quickly and when that will happen, we are very well positioned, like no other players in our industry, I hope all of you agree. Based upon the kind of technologies that we have, the local scale that we've developed, the very, very strong partnerships that we have with our key customers, the footprint of manufacturing and technical centres that is in place and our customer support capabilities. So as conditions improve in India, which we hope now that will happen soon, we are very well position to take advantage of that and start generating even stronger financial returns for our shareholders. So thank you very much for your support and your time here for this call. We are done and over to you. Thank you.